



“About 90% of American businesses are family owned or controlled.”

www.inc.com/encyclopedia/family-owned-businesses.html

FAMILY FRUIT STALL



FAMILY CHARTERS

Establishing clear roles and responsibilities is particularly important in family-run businesses. Conflict can lead to long-term divisions. To avoid this, create an informal agreement or charter.

All family members involved will need to decide what the charter should cover. Such documents typically outline how the company will be run, its short- and long-term objectives, areas of accountability and authority, and, sometimes, how it might be passed on to the next generation. You may need to consult a lawyer or business mentor to help you agree on tricky issues, such as sharing control and potential wealth.

A business charter is not legally binding. Once you have started selling, it will need to be reviewed regularly to ensure it remains relevant to the business.

CONS

- **Familiarity** Knowing each other well can lead to unprofessional attitudes.
- **Narrow thinking** A family workforce may not be open to helpful, external ideas.
- **Personal resentments** These can affect the business and damage family relationships.
- **Assumptions** If there is no charter, senior family members may assume they are in charge.

